

ECON 0100 | Exercise B1 | Demand

In the British wizarding world, the demand for enchanted broomsticks has always been high. Enchanted broomsticks sell along the demand curve $P = 16 - \frac{Q}{4}$, in galleons and broomsticks.

Q1 | Quantity Demanded

- a) What is the quantity demanded at 12 galleons? _____
- b) What is the marginal benefit at a quantity of 16? _____

Q2 | Consumer Surplus

Enchanted broomsticks again, $P = 16 - \frac{Q}{4}$.

- a) What is the quantity demanded at 8 galleons? _____
- b) Find and label the consumer surplus at that price.